New Jersey (:)

SEPTEMBER 2026 Gambling Market & Regulatory Brief · Published 19 Oct 2026 · Currency USD (tables in millions unless stated)

CONFIDENTIAL · INTERNAL
Prepared: 22 Oct 2026
B2Tech · via Merlin

THE ONE-LINE VERDICT

September 2026 confirms New Jersey's structural bifurcation: iGaming win rose 13.0% to $274.8m and for a second straight month out-earned the nine Atlantic City floors ($227.8m, -1.3%), while online sports GGR fell 18.8% on a 1.3% football hold and FanDuel's lead over DraftKings collapsed from $15m to $3.4m. Total gaming revenue still grew 2.8% to $579.6m (9M: $5.39bn, +5.1%) and the state banked $82.7m of gross revenue tax at the 19.75% online rate — a rate the Treasury has no incentive to lower.

TOTAL GAMING REVENUE (GGR)	INTERNET GAMING WIN	SPORTS WAGERING GGR	AC CASINO WIN (RETAIL)	GROSS REVENUE TAXES (DGE HEADLINE)	ONLINE SHARE OF GGR
$579.6m	**$274.8m**	**$77.0m**	**$227.8m**	**$82.7m**	**60.0%**
+2.8% YoY; 9M $5.39bn (+5.1%)	+13.0% YoY; 9M $2.40bn (+13.2%)	-14.3% YoY; online -18.8%; 9M $748.4m (-6.3%)	-1.3% YoY; tables -17.6%, slots +4.6%	9M $756.8m; excl. IAT & 1.25% add-on taxes	+0.9pt vs 59.1% in Sep-25

1 EXECUTIVE SUMMARY

- **Regulator and framework.** The New Jersey Division of Gaming Enforcement (DGE, within the Attorney General's office; AG Jennifer Davenport, Interim DGE Director Mary Jo Flaherty) licenses and reports the market under the Casino Control Act; iGaming (since Nov 2013) and sports wagering (since June 2018) are tethered to the nine Atlantic City casino licensees and two racetrack licensees (Meadowlands, Monmouth Park). September 2026 results were released on 19 Oct 2026.
- **Headline: total gaming revenue $579.6m, +2.8% YoY** (vs $563.7m), the second-highest September on record; nine-month GGR $5.39bn, +5.1% vs $5.13bn. Note Intergame mis-reported the month as a 2.8% *decline*; the DGE release and five other sources confirm growth.
- **iGaming is now the largest product: $274.8m (+13.0%), 47.4% of total GGR**, nearly matching July's all-time record of $276.9m and the third-highest month ever. 9M iGaming win $2.40bn (+13.2% vs $2.12bn). Online casino has out-earned the physical casino floor two months running.
- **Growth is decelerating but still double-digit:** iGaming grew >24% in 2024 and 21.8% in 2025 (WSN); 2026 YTD +13.2% with August at only +4.4% before September rebounded to +13.0%. Incumbents FanDuel (+2.1%) and DraftKings (+9.9%) are growing slower than the market; share is being bought by Fanatics (+187%), Hard Rock Bet (+25.5%), BetRivers (+25.2%) and bet365 (+52.8%).
- **Sports betting is the weak leg: GGR $77.0m (-14.3%)**, online $72.9m (-18.8%), retail lounges $4.1m (vs a $13k loss a year ago). Completed-event handle fell 3.6% to $1.09bn with one fewer NFL Sunday; hold compressed to 6.3% from 7.3%. Football produced just $4.3m on $318.8m of handle (1.3% hold vs 4.8%). 9M GGR $748.4m (-6.3%); handle $8.30bn (-4.1%) and down in seven of nine months (June/July World Cup the exceptions).
- **Operator landscape — online duopoly eroding.** On DGE's YTD-August combined iGaming+OSB classification FanDuel held 26.7% share, DraftKings 19.5%, BetMGM 11.7%, Borgata 6.4%, Caesars 6.0%, Fanatics 5.8%, Hard Rock Bet 5.6%, BetRivers 3.3%, Golden Nugget 2.9%, bet365 2.8%. In September online sports, FanDuel ($24.7m, -34.4%) and DraftKings ($21.3m, -5.9%) still took 63.1% of online GGR but the gap shrank to $3.4m from $15m; bet365 is now #3 ($6.6m, +21.2%).
- **Land-based Atlantic City: $227.8m (-1.3%)**; slots +4.6% to $177.9m but tables -17.6% to $49.9m (Borgata tables -48.1% to $9.0m), with a rare nor'easter over the 25 Sept weekend. Borgata $55.7m (-11.3%) leads; Hard Rock $43.4m (-4.3%); Ocean $42.6m (+7.6%) is now within $0.8m of Hard Rock; Harrah's +12.7% to $18.5m. 9M casino win $2.24bn (+1.4%) but only three of nine properties are up YTD.
- **Tax regime — GGR base, online at 19.75%.** DGE tax statistics (Aug-26 PDF) show: casino 8% gross revenue tax + 1.25% Investment Alternative Tax (IAT); internet gaming 19.75% GRT + 2.5% IAT; online sports (casino and racetrack) 19.75% GRT + 1.25% additional tax; retail sportsbook lounges 8.5% + 1.25%. The online rates were lifted from 15% (iGaming) and 13% (OSB) with effect from 1 Jul 2025 under the FY2026 budget [rate change date not re-verified this session]; 2026 is the first full calendar year at 19.75%.
- **Tax take: $82.7m gross revenue taxes in September; $756.8m 9M.** The DGE headline excludes IATs and the 1.25% add-ons; all-in gaming taxes were $92.4m in August vs the $81.5m headline, so September all-in is ~$93m (est.). Blended effective GRT is ~14.3% of GGR. Recipients (Aug): Casino Revenue Fund $76.6m, Atlantic City PILOT (IATs) $10.2m, State General Fund (racetrack OSB) $4.8m, CRDA marketing $0.46m, racetrack municipalities $0.32m.
- **Licensing regime.** Market access requires a contract with one of 9 casino licensees or 2 racetracks; DGE classifies brands as third-party (66.0% of online GGR YTD-Aug), joint venture (BetMGM/Borgata, 18.8%), affiliate (Caesars, Hard Rock Bet; 12.8%) or casino-own (2.4%). DGE's August report lists 28 active iGaming brands and 15 active online sportsbook entries (14 distinct brands). Statutory fees — internet gaming permit $400k initial / $250k annual renewal; sports wagering licence $100k initial; up to 3 OSB skins per licensee — are from prior knowledge and are [unverified] in this session.
- **Online penetration is 60.0% of GGR** (iGaming + online sports = $347.7m of $579.6m), up from 59.1% a year ago; 9M online share 58.1%. Retail sports is immaterial (5.3% of sports GGR) and the land-based floor is a slowly shrinking 39% of the market.
- **Poker is structurally in decline:** peer-to-peer win was $2.56m in August (-3.2%) and $20.1m YTD-Aug (-2.8%); PartyPoker fell 47.5% to $0.92m in September and PokerStars exited the state in 2026 (nil revenue from August).
- **Payments reality:** New Jersey allows the full US online funding stack (ACH/e-check, debit, PayPal, Play+, cash at cage/PayNearMe) and — unlike several newer states — credit-card deposits remain permitted; bills to prohibit credit-card funding have been introduced but not enacted as far as we could verify [unverified this session].
- **Responsible gambling and advertising:** DGE operates statewide online/casino self-exclusion and since 2023 requires operators to run analytics-based at-risk player identification; Gaming Intelligence reported

on 20-21 Oct 2026 that DGE has further 'strengthened' online RG requirements — we could not read the detail and flag it as a live compliance item. There is no statutory advertising ban; promotion is governed by DGE advertising regulations/guidance.

- **Enforcement and political direction.** DGE has been assertive on unlicensed verticals — cease-and-desist action against sports-event prediction markets (Kalshi/Robinhood, 2025, litigation ongoing at the time of our last verified data) and legislative action against sweepstakes casinos [status unverified]. Fiscal direction is clear: the state has already raised online rates once and the 19.75% level is below neighbouring Pennsylvania (36% OSB) and New York (51%), leaving headroom for further increases.
- **Benchmarking:** in September New Jersey sportsbooks kept $77.0m vs Pennsylvania's $44.7m and Massachusetts' ~$75m, yet Pennsylvania collected more sports tax ($16.1m vs ~$14.4m implied for NJ online at 19.75%) — illustrating that NJ's attraction is volume and product breadth, not low tax.
- **Read-through for B2Tech:** New Jersey is the deepest, most liquid and most mature US online casino market (annualising ~$3.3bn iGaming win) with a stable GGR-based tax and open skin access, but it is late-cycle: 28 iGaming brands compete for ~61% top-4 concentration, new entrants are growing only via heavy promotion (WSN), online sports is contracting, and the iGaming statutory authorisation runs to November 2028 [unverified] — entry economics hinge on a cost-efficient market-access deal and casino-led differentiation rather than sportsbook.

2 MARKET SUMMARY

NEW JERSEY — US $M (DGE)	SEP-26	SEP-25	YOY	9M-26	9M YOY
GROSS GAMING REVENUE BY PRODUCT					
Casino win — 9 Atlantic City casinos (retail)	227.8	230.7	-1.3%	2,240	+1.4%
Slot machine win	177.9	170.1	+4.6%	n/a	n/a
Table game win	49.9	60.6	-17.6%	n/a	n/a
Internet gaming win (online casino + poker)	274.8	243.1	+13.0%	2,400	+13.2%
Sports wagering gross revenue	77.0	89.8	-14.3%	748.4	-6.3%
Online sportsbook	72.9	89.8	-18.8%	730.8	-6.4%
Retail sportsbook lounges	4.1	(0.0)	n.m.	17.5	~0%
Total gaming revenue	**579.6**	**563.7**	**+2.8%**	**5,390**	**+5.1%**
MIX AND KPIS					
Online share of GGR (iGaming + online sports)	60.0%	59.1%	+0.9pt	58.1%	n/a
iGaming share of GGR	47.4%	43.1%	+4.3pt	44.5%	n/a
Sports handle, completed events ($m)	1,090	1,130	-3.6%	8,300	-4.1%
Sports hold, completed events	6.3%	7.3%	-1.0pt	n/a	n/a
TAX					
Gross revenue taxes — DGE headline (excl. IAT & 1.25% add-ons) [All-in gaming taxes incl. IATs were $92.4m in Aug-26 vs $81.5m headline; Sep-26 all-in ~$93m (est.).]	82.7	n/a	n/a	756.8	n/a
Blended effective GRT (calc.)	14.3%	n/a	n/a	14.0%	n/a
Tax base / rates	GGR	Casino 8%+1.25% IAT	iGaming 19.75%+2.5% IAT	OSB 19.75%+1.25%	Lounge 8.5%+1.25%
LICENSING					
Casino licensees / racetrack sports licensees	9 / 2	9 / 2	–	–	–
Active iGaming brands (DGE Aug-26 list)	28	~27	+PokerStars exit	–	–
Active online sportsbook brands (DGE Aug-26 list)	15 (14 distinct)	n/a	–	–	–
Internet gaming permit fee (statutory) [unverified]	$400k initial	$250k renewal p.a.	–	–	–

3 DEEP-DIVE — ONLINE CASINO (INTERNET GAMING)

> **$274.8m (+13.0%) — now the state's largest product and bigger than the Atlantic City floor; growth slowing, share shifting to challengers.**

SEPTEMBER WIN AND RUN-RATE

Internet gaming win of $274.8m in September 2026 rose 13.0% on $243.1m, the third-highest month on record and within $2m of July's $276.9m peak.

- Nine-month win reached $2.40bn (+13.2% vs $2.12bn), implying a 2026 full-year outcome of roughly $3.25–3.3bn (est.).
- Product now generates 47.4% of all New Jersey gaming revenue (43.1% a year ago).
- For the second consecutive month it exceeded the combined win of the nine land-based casinos by ~$47m.
- Tax base is 'Internet Gaming Gross Revenue' (win less DGE-approved adjustments, including limited promotional credit deduction), taxed at 19.75% plus 2.5% IAT funding the Atlantic City PILOT.

BRAND LEADERS MATURING

Leaders are maturing while the second tier buys share; FanDuel stayed #1 at $57.8m but grew just 2.1%.

- DraftKings (Resorts) $53.3m (+9.9%), narrowing the gap to $4.5m from $8.2m.
- BetMGM (Borgata joint venture) $35.4m (+16.7%); Borgata's own brand $22.0m (+6.0%); Caesars Palace (CIENJ) $20.2m (+8.4%).
- These five hold ~68% of the market and the top four 61.3%.

CHALLENGER GROWTH

Growth below the top five is striking, but much of it is promotion-funded, so reported win overstates the margin pool.

- Hard Rock Bet $17.8m (+25.5%, 9M $159.6m +40.7%); Fanatics (Bally's licence) $14.7m (+187.4% from $5.1m).
- Golden Nugget $11.0m (+17.5%), BetRivers $10.0m (+25.2%), bet365 (Hard Rock licence) $4.0m (+52.8%).
- WSN's read — which we share — is that incremental growth is promotion-funded by a handful of entrants.

YEAR-TO-DATE AND POKER

DraftKings' flat YTD performance ($423m, +0.8%) against a +13% market is the most notable share loss among incumbents; poker continues to shrink.

- YTD: FanDuel $541.1m (+14.5%), DraftKings $423m (+0.8%), BetMGM $307.1m (+11.6%).
- Peer-to-peer poker win $2.56m in August (-3.2%) and $20.1m for 8M (-2.8%); PartyPoker fell 47.5% to $0.9m in September; PokerStars nil from August after exiting.
- Tropicana's own brand fell 45.2% to $1.6m and Jackpocket 36.1% to $0.7m.
- Over 30 brands live in the past year; DGE's August list shows 28 active, with the long tail (Playstar, Mohegan Sun, Monopoly, WSOP, Wheel of Fortune, Betinia, Ember, Vegas Club, Resorts World) each below 1% share.

ENTRANT ECONOMICS

Most liquid US online casino market and clearest proof iGaming can grow double-digits a decade after launch, but new-entrant maths are unforgiving.

- At 19.75% + 2.5% tax, a market-access fee and visibly rising promotional intensity, the realistic path is a differentiated casino product under an affiliate or third-party skin, not a me-too sportsbook-led bundle.
- Classification data (third-party brands 66.0% of online GGR YTD-Aug; joint venture 18.8%; affiliate 12.8%; casino-own 2.4%) confirms licensees monetise access rather than operate.
- This keeps skins available but prices them.

NJ INTERNET GAMING — US $M (DGE / PLAYNJ / ELITESPORTSNY)	SEP-26	SEP-25	YOY	9M-26	9M YOY
Total internet gaming win	**274.8**	**243.1**	**+13.0%**	**2,400**	**+13.2%**
FanDuel (Golden Nugget)	57.8	56.6	+2.1%	541.1	+14.5%
DraftKings (Resorts)	53.3	48.4	+9.9%	423.0	+0.8%
BetMGM (Borgata JV)	35.4	30.3	+16.7%	307.1	+11.6%
Borgata Online	22.0	20.7	+6.0%	194.3 (calc.)	n/a
Caesars Palace (CIENJ)	20.2	18.6	+8.4%	169.1 (calc.)	n/a
Hard Rock Bet	17.8	14.2	+25.5%	159.6	+40.7%
Fanatics Casino (Bally's)	14.7	5.1	+187.4%	121.1 (calc.)	n/a
Golden Nugget	11.0	9.3	+17.5%	91.3 (calc.)	n/a
BetRivers (Golden Nugget)	10.0	8.0	+25.2%	97.0 (calc.)	n/a
bet365 (Hard Rock)	4.0	2.6	+52.8%	30.4 (calc.)	n/a
PartyPoker (Borgata)	0.9	1.8	-47.5%	n/a	n/a
Top-4 brand share	61.3%	n/a	n/a	n/a	n/a
Peer-to-peer (poker) win	n/a	n/a	n/a	20.1 (8M)	-2.8%
Tax: 19.75% GRT + 2.5% IAT (implied, pre-adjustments)	~54.3 + ~6.9	n/a	n/a	n/a	n/a

4 DEEP-DIVE — SPORTS BETTING (ONLINE + RETAIL)

GGR $77.0m (-14.3%) on a 1.3% football hold and one fewer NFL Sunday; online -18.8%, duopoly share slipping to bet365/DraftKings.

SEPTEMBER GGR AND HOLD

Sports wagering GGR was $77.0m in September 2026, down 14.3% from $89.8m, driven by a 1.3% football hold and one fewer NFL Sunday.

- Online sportsbooks $72.9m (-18.8%), 94.7% of total; retail lounges swung to $4.1m from a $13k loss.
- Completed-event handle fell 3.6% to $1.09bn (from $1.13bn); statewide hold compressed to 6.3% from 7.3%.
- Football handle fell 15.3% to $318.8m and operator win collapsed 76.4% to $4.3m — 1.3% hold versus 4.8% — as favourites and popular parlay legs landed.
- Parlays remained largest at $380.6m handle (+0.6%) but win fell 10.5% to $45.0m as parlay hold slipped to 11.8% from 13.3%; baseball comparatively strong.

YEAR-TO-DATE VOLUME DECLINE

The YTD trend is negative in volume, not just luck: 9M GGR $748.4m (-6.3% vs $798.5m) with handle $8.30bn (-4.1%), down in seven of nine months.

- Online $730.8m (-6.4%), retail $17.5m (flat).
- Only June and July grew, lifted by the FIFA World Cup (June handle $917.2m, +16%, hold just 6.24%, GGR fell 37.7%; July GGR rebounded to $97m with online +25.5%).
- August's -25% was blamed by DGE on a later start to the college-football calendar.
- Our reading: New Jersey has passed peak handle — New York's 2022 launch removed the cross-border commuter base, prediction-market and offshore leakage is non-trivial, and the market is now a hold-driven revenue story.

BRAND DYNAMICS

Brand dynamics are the most important development: FanDuel fell 34.4% to $24.7m while bet365 is now a clear #3 at $6.6m (+21.2%).

- DraftKings (Resorts) fell only 5.9% to $21.3m; combined duopoly share of online GGR is 63.1% but the gap shrank to $3.4m from $15m.
- bet365 (Hard Rock) YTD +35.7%, ahead of BetMGM $6.3m (-10.7%; YTD +6.9%) and Fanatics $4.9m (-29.2%; YTD +8.2%).
- Caesars $3.2m across two licences (-12.1%), Hard Rock Bet $2.3m (+36%), theScore Bet $1.7m (-31.5%).
- DGE YTD-August ranking: FanDuel $262.1m (-6.7%), DraftKings $173.9m (-13.0%), Fanatics $56.2m (+13.4%), BetMGM $54.5m (+9.4%), bet365 $51.8m (+37.8%) — three mid-tier brands growing double-digits while the two leaders shrink.

TAX AND OUTLOOK

Implied September online sports tax is ~$14.4m, below Pennsylvania's $16.1m on far lower GGR ($44.7m) because of PA's 36% rate.

- Online sports taxed at 19.75% of GGR plus 1.25% additional tax (casino-licensed books → CRDA marketing; racetrack books → host municipalities); lounge revenue at 8.5% + 1.25%.
- Racetrack online tax flows to the State General Fund ($4.7m in August); casino-partner online tax to the Casino Revenue Fund.
- The PA comparison is one the New Jersey Treasury will not have missed.
- For an operator the product is mature, promotion-heavy and structurally #3-and-below; growth evidence only for differentiated propositions (bet365's pricing/in-play depth, Fanatics' loyalty ecosystem).

NJ SPORTS WAGERING — US $M (DGE / PLAYNJ / RG.ORG)	SEP-26	SEP-25	YOY	9M-26	9M YOY
Sports wagering gross revenue	**77.0**	**89.8**	**-14.3%**	**748.4**	**-6.3%**
Online sportsbook GGR	72.9	89.8	-18.8%	730.8	-6.4%
Retail lounge GGR	4.1	(0.013)	n.m.	17.5	~0%
Handle, completed events	1,090	1,130	-3.6%	8,300	-4.1%
Hold, completed events	6.3%	7.3%	-1.0pt	n/a	n/a
Football handle / win / hold	318.8 / 4.3 / 1.3%	376.4 / 18.1 / 4.8%	-15.3% / -76.4%	n/a	n/a
Parlay handle / win / hold	380.6 / 45.0 / 11.8%	378.3 / 50.3 / 13.3%	+0.6% / -10.5%	n/a	n/a
FanDuel (Meadowlands) online	24.7	37.7	-34.4%	286.8 (calc.)	n/a
DraftKings (Resorts) online	21.3	22.6	-5.9%	195.2 (calc.)	n/a
bet365 (Hard Rock) online	6.6	5.4	+21.2%	58.4 (calc.)	+35.7%
BetMGM (Borgata) online	6.3	7.1	-10.7%	60.8 (calc.)	+6.9%
Fanatics (Bally's) online	4.9	6.9	-29.2%	61.1 (calc.)	+8.2%
Caesars (2 licences) / Hard Rock Bet / theScore	3.2 / 2.3 / 1.7	3.6 / 1.7 / 2.5	-12.1% / +36% / -31.5%	n/a	n/a
FanDuel + DraftKings share of online GGR	63.1%	~67%	-4pt	n/a	n/a
Tax: online 19.75% + 1.25%; lounge 8.5% + 1.25% (implied)	~14.4 + ~0.35	n/a	n/a	n/a	n/a

5 DEEP-DIVE — ATLANTIC CITY LAND-BASED CASINOS

Casino win $227.8m (-1.3%): slots +4.6%, tables -17.6% (Borgata -48%), nor'easter weekend; only three of nine properties up YTD.

SEPTEMBER CASINO WIN

The nine casino hotels won $227.8m in September, down 1.3% from $230.7m, with a nor'easter weekend and unfavourable table outcomes.

- Slot win rose 4.6% to $177.9m; table win fell 17.6% to $49.9m from $60.6m, with five properties reporting table declines.
- Rare nor'easter over the 25–26 September weekend.
- Borgata alone explains the shortfall: table win -48.1% to $9.0m, slots +2.9% to $46.7m, total $55.7m (-11.3%), a ~$7.1m decline against a +$4.1m aggregate gain elsewhere.
- Nine-month win $2.24bn (+1.4%), a $31.8m gain, but only Borgata ($612.4m, +2.1%), Ocean ($372.5m, +5.6%) and Caesars (+10.9% through August) are ahead of 2025 YTD.

PROPERTY DYNAMICS

Dynamics are tightening at the top as Ocean ($42.6m, +7.6%) narrows the gap to Hard Rock ($43.4m, -4.3%) to $0.8m from $5.8m.

- Ocean led the city in table win at $14.8m.
- Harrah's posted the strongest percentage gain (+12.7% to $18.5m, tables +43.5%).
- Through August laggards were Bally's (-2.3% YTD, $89.6m), Golden Nugget (-4.7%, $90.0m), Resorts (-2.3%, $107.0m) and Tropicana (-2.6%, $149.1m).
- These four smallest floors, each sub-$150m YTD, are where consolidation or licence-transfer risk sits.

TAX AND STRATEGIC ROLE

The retail floor is the market's low-growth, high-cost segment; its strategic value to an online entrant is as a licence host, not a revenue line.

- Land-based gaming taxed at 8% of gross revenue (with promotional-gaming-credit adjustment) plus 1.25% IAT under the Atlantic City PILOT statute.
- August casino taxes were $21.9m ($18.3m GRT + $3.7m IAT).
- The Casino Association has repeatedly cited record operating costs.
- All nine licensees sponsor online skins (Golden Nugget hosting FanDuel/BetRivers, Resorts hosting DraftKings, Borgata/BetMGM, CIENJ hosting Caesars/BetParx/Jackpocket, Hard Rock hosting bet365, Bally's hosting Fanatics); licence-holder online revenue is a material share of property-level economics.

ATLANTIC CITY CASINO WIN — US $M (DGE / PLAYNJ / CASINO.ORG)	SEP-26	SEP-25	YOY	9M-26	9M YOY
Total casino win (9 properties)	**227.8**	**230.7**	**-1.3%**	**2,240**	**+1.4%**
Slot machine win	177.9	170.1	+4.6%	n/a	n/a
Table game win	49.9	60.6	-17.6%	n/a	n/a
Borgata (MGM)	55.7	62.8	-11.3%	612.4	+2.1%
Borgata slots / tables	46.7 / 9.0	45.4 / 17.4	+2.9% / -48.1%	n/a	n/a
Hard Rock	43.4	45.3	-4.3%	419.8 (calc.)	n/a
Ocean Casino Resort	42.6	39.6	+7.6%	372.5	+5.6%
Harrah's (Caesars)	18.5	16.4	+12.7%	n/a	n/a
Caesars / Tropicana / Resorts / Golden Nugget / Bally's	n/a (not disclosed in sources read)	n/a	n/a	158.5 / 149.1 / 107.0 / 90.0 / 89.6 (8M)	+10.9% / -2.6% / -2.3% / -4.7% / -2.3%
Properties with YTD growth	3 of 9	n/a	n/a	n/a	n/a
Tax: 8% GRT + 1.25% IAT (Aug-26 actual)	Aug: 18.3 + 3.7	n/a	n/a	8M: 122.3 + 25.1	n/a

6 DEEP-DIVE — LICENSING & TAX REGIME

GGR-based tax, 19.75% online since July 2025; access tethered to 9 casinos + 2 racetracks; iGaming authorisation runs to Nov 2028 [unverified].

TAX RATES BY CHANNEL

New Jersey taxes gross gaming revenue, not turnover; online rates rose to 19.75% from 1 July 2025, the first increase since launch.

- Per DGE's August 2026 statistics: casinos 8% GRT plus 1.25% IAT; internet gaming 19.75% plus 2.5% IAT; online sports 19.75% plus 1.25%; retail lounges 8.5% plus 1.25%.
- 19.75% replaced 15% (iGaming) and 13% (online sports) under the FY2026 Appropriations Act after Governor Murphy originally proposed 25% [increase and date from prior knowledge, not re-verified].
- Gaming taxes are unaudited and subject to adjustment; casino GRT embeds promotional credit effects, and internet gaming returns deduct promotional credits above a threshold.

TAX TAKE AND EARMARKING

Headline tax take was $82.7m for September and $756.8m for nine months; all-in 2026 collections are tracking ~$1.15bn (est.).

- DGE headline is gross revenue tax only; August all-in gaming taxes were $92.4m (headline $81.5m) and $760.9m for eight months.
- Earmarks in August: Casino Revenue Fund $76.6m (senior/disabled programmes), Atlantic City PILOT IATs $10.2m, State General Fund racetrack sports GRT $4.8m, CRDA marketing $0.46m, racetrack municipalities $0.32m.
- Earmarking is politically protective but makes the Treasury highly sensitive to online growth — iGaming alone contributed $57.7m of August's $92.4m.

TETHERED LICENSING

Licensing is tethered to Atlantic City casino licensees and two racetracks; the economic model is rental of access.

- iGaming requires a permit held by a casino licensee, with brands operating as skins under market-access agreements.
- Sports wagering licences held by nine casinos and two racetracks (Meadowlands — FanDuel's host — and Monmouth Park), each with a limited number of online skins (statutory cap of three per licensee [unverified]).
- DGE classification YTD-Aug: third-party 66.0%, joint-venture 18.8%, affiliate 12.8%, casino-own 2.4%.
- Fees we believe apply — internet permit $400,000 initial, $250,000 annual renewal, sports licence $100,000 initial, $250,000 annual responsible-gambling contribution — are [unverified]; confirm against N.J.S.A. 5:12 and N.J.A.C. 13:69O.
- Every platform, vendor and key employee requires DGE licensing; iGaming servers must sit in approved New Jersey facilities.

LEGAL CLOCKS AND RATE RISK

Base case is 19.75% holds through 2027, with a non-trivial risk of a move toward 25% tied to the 2028 reauthorisation.

- Internet-gaming authorisation is time-limited: the 2023 extension pushed sunset to November 2028 [unverified], so a renewal bill is due in the 2027–28 session, giving the Legislature leverage to revisit the rate.
- The 2025 rise only partially closed the gap to neighbours (Pennsylvania 54% slots-equivalent online / 36% OSB; New York 51% OSB).
- The FY2028 budget cycle (Feb–Jun 2027) under Governor Sherrill is the obvious venue for another look.

NJ GAMING TAX & LICENSING SUMMARY (DGE AUG-26 TAX STATISTICS; STATUTES)	RATE / FEE	BASE	RECIPIENT	AUG-26 TAKE ($M)	8M-26 TAKE ($M)
Casino gross revenue tax	8%	Casino GGR (promo-credit adjusted)	Casino Revenue Fund	18.3	122.3
Casino Investment Alternative Tax	1.25%	Casino GGR	Atlantic City PILOT	3.7	25.1
Internet gaming gross revenue tax	19.75% (was 15% to 30 Jun 2025 [unverified])	Internet gaming GGR	Casino Revenue Fund	51.2	420.2
Internet gaming IAT	2.5%	Internet gaming GGR	Atlantic City PILOT	6.5	53.2
Online sports — casino partner	19.75% (was 13% [unverified])	Online sports GGR	Casino Revenue Fund	7.1	76.7
Online sports — racetrack partner	19.75%	Online sports GGR	State General Fund	4.7	53.9
Sportsbook lounge (casino / racetrack)	8.5%	Retail sports GGR	CRF / General Fund	0.03 / 0.11	0.26 / 1.46
Sports additional tax (casino / racetrack)	1.25%	Sports GGR	CRDA marketing / racetrack municipalities	0.46 / 0.32	4.9 / 3.5
Grand total gaming taxes (all-in)	**~14.3% blended**	**All GGR**	**—**	**92.4**	**760.9**
Internet gaming permit fee [unverified]	$400k initial / $250k p.a.	—	DGE	n/a	n/a
Sports wagering licence fee [unverified]	$100k initial	—	DGE	n/a	n/a
iGaming statutory sunset [unverified]	Nov 2028	—	—	n/a	n/a

7 DEEP-DIVE — PAYMENTS, RESPONSIBLE GAMBLING, ADVERTISING & ENFORCEMENT

Open funding stack incl. credit cards; DGE tightening online RG (Oct 2026); enforcement focus on prediction markets and sweepstakes; political direction is fiscal, not prohibitionist.

PAYMENTS

Payments are not a constraint; credit-card deposits remain permitted, distinguishing New Jersey from several newer US states and the UK.

- Operators accept ACH/e-check, debit cards, PayPal and similar wallets, prepaid Play+ cards, PayNearMe and cash at the partner casino cage.
- Proposals to ban credit-card funding and cap deposits have been introduced but, to our knowledge, none enacted [unverified this session].
- Geolocation and KYC mandated at account level; servers and player-account systems subject to DGE technical standards and independent lab certification.

RESPONSIBLE GAMBLING

RG obligations are among the most prescriptive in the US and tightening, with October 2026 'enhanced' online requirements a near-term compliance cost item.

- DGE runs statewide self-exclusion (online and casino; one-year, five-year and lifetime); since 2023 Best Practices, operators must deploy at-risk analytics and intervene; operator contributions fund the Council on Compulsive Gambling of NJ.
- On 20–21 October 2026 Gaming Intelligence reported further 'enhanced' online RG requirements; detail not read this session, likely limit-setting, affordability-style monitoring and marketing to at-risk cohorts.

ADVERTISING

Advertising is governed by DGE regulation and guidance rather than a statutory ban; there is no watershed.

- Inducement advertising must be truthful, carry 1-800-GAMBLER messaging and avoid targeting minors or self-excluded players.
- The Legislature has periodically considered restrictions on college-campus partnerships and 'risk-free' language.

ENFORCEMENT POSTURE

Enforcement is DGE's defining posture, protective of the licensed, taxed channel — the state wants ~$1.15bn of annual gaming taxes defended, not activity suppressed.

- In 2025 DGE issued cease-and-desist orders to Kalshi and Robinhood over sports-event contracts, triggering unresolved federal litigation over CFTC pre-emption; outcome determines whether a tax-free, licence-free sportsbook substitute can operate.
- Legislature has moved against sweepstakes-model casinos [enactment status unverified]; DGE continues to publicise actions against unlicensed offshore sites.
- Leadership backdrop: Interim Director Mary Jo Flaherty since 2024, a new Attorney General and new Governor (Sherrill, from January 2026).
- First permanent DGE Director appointment and the FY2028 budget are the two events to watch for any change in tone.

NJ PAYMENTS / RG / ADVERTISING / ENFORCEMENT — STATUS (SOURCES READ; ITEMS MARKED [UNVERIFIED] FROM PRIOR KNOWLEDGE)	STATUS	DETAIL	DIRECTION	SOURCE BASIS	OPERATOR IMPLICATION
Deposit methods	Open	ACH, debit, PayPal, Play+, PayNearMe, cage cash, credit cards permitted	Credit-card ban bills pending [unverified]	Prior knowledge	Low friction; monitor credit-card bill
Self-exclusion	Statewide (online + casino)	1yr / 5yr / lifetime	Stable	DGE programme [unverified]	Standard integration
At-risk analytics	Mandatory since 2023	Operator must detect/intervene	Tightened Oct 2026 (GI headline; detail not read)	Gaming Intelligence 20-21 Oct 2026	Compliance cost rising
Advertising	Regulated, no statutory ban	DGE regs/guidance; 1-800-GAMBLER	Incremental restriction risk	Prior knowledge	Promo-heavy entry still possible
Prediction markets	Contested	DGE C&D vs Kalshi/Robinhood (2025); litigation	Watch court outcome	Prior knowledge [unverified 2026 status]	Untaxed substitute risk to OSB
Sweepstakes casinos	Legislature acted 2025	Ban bill passed [enactment unverified]	Enforcement	Prior knowledge	Clears grey-market competition
Tax direction	Raised to 19.75% (Jul 2025)	Below PA 36% / NY 51% OSB	Further rise possible with 2028 reauthorisation	DGE Aug-26 tax stats (rate); date [unverified]	Model 20–25% scenarios

8 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Deepest online casino market in the US: iGaming win $274.8m in September (+13.0%), $2.40bn for 9M (+13.2%), annualising ~$3.3bn — and still growing double-digits 13 years after launch, with online now 60% of state GGR. structural
- Share is demonstrably contestable: Fanatics (+187% to $14.7m), Hard Rock Bet (+25.5%), BetRivers (+25.2%) and bet365 (+52.8% casino, +21.2% sports) are taking share from FanDuel/DraftKings, whose online sports gap shrank from $15m to $3.4m — challengers can scale here. structural
- GGR-based tax with a stable, earmarked take ($82.7m headline in September; ~$93m all-in est.): no turnover tax, promotional-credit adjustments allowed, and the Casino Revenue Fund earmark gives the industry a political constituency. structural
- Open skin/market-access model: 28 active iGaming brands and 14 online sportsbook brands ride on 9 casino + 2 racetrack licences; third-party brands already generate 66% of online GGR, so licensees are willing hosts. structural
- Payments and product breadth are unconstrained: credit cards, wallets and cash all permitted; slots, tables, live dealer and poker all legal; no statutory ad ban — a full-stack proposition can be deployed without the product carve-outs seen in other US states. structural
- Regulator enforcement protects the licensed channel: DGE action against prediction markets and the legislative move against sweepstakes reduce grey-market competition for taxed operators. early
- Retail sports lounges swung to +$4.1m and World Cup months (June/July) showed handle can still grow +16% on event catalysts — 2026 FIFA World Cup legacy and 2027 NFL calendar offer timing upside. one-off

▼ LOWLIGHTS

- Online sports betting is contracting: 9M GGR -6.3%, handle -4.1% and down in seven of nine months; September online GGR -18.8% with football hold at 1.3% — a structurally lower-hold, lower-volume market since New York's launch. structural
- Tax ratchet risk: online rates already rose from 15%/13% to 19.75% in July 2025 [date unverified]; neighbours tax at 36–51% and the Nov 2028 iGaming reauthorisation [unverified] gives the Legislature leverage to revisit the rate in the FY2028 budget. watch
- Growth is promotion-funded and slowing: iGaming growth has decelerated from >24% (2024) and 21.8% (2025) to 13.2% YTD with August at +4.4%; challengers' gains come with heavy marketing, and DraftKings is flat YTD — margin pool is tighter than reported win suggests. mixed
- Concentration and access cost: top-4 iGaming brands hold 61.3%, FanDuel+DraftKings 63% of online sports; every entrant must pay a market-access fee to a casino licensee on top of 22.25% all-in iGaming tax, compressing contribution margins for a sub-3% share player. structural
- Compliance cost is rising: DGE enhanced online RG requirements in October 2026 (detail not read) on top of mandatory at-risk analytics; credit-card deposit and advertising bills recur each session. governance
- Prediction-market pre-emption litigation (Kalshi/Robinhood v. DGE) is unresolved at our data limit; an adverse federal ruling would legitimise an untaxed, unlicensed sports substitute inside the state. watch
- Land-based floor is ex-growth (9M +1.4%; only 3 of 9 properties up) with the four smallest casinos sub-$150m YTD — licence-host instability or consolidation could disrupt skin agreements. mixed

9 FORECAST & OUTLOOK

Guidance bridge. The regulatory bridge from 2025 to 2026 is already in the numbers: the July 2025 lift of online rates to 19.75% (from 15% iGaming / 13% OSB) means 2026 is the first full calendar year at the new rate, and the DGE's 9M headline gross-revenue-tax take of $756.8m (all-in ~$854m est. including IATs) is running ~15–20% ahead of the revenue growth it sits on. On our extrapolation of DGE data, 2026 total gaming revenue lands at ~$7.2bn (est., +4–5%), driven entirely by iGaming (~$3.25–3.3bn, +12–13%) offsetting sports GGR of ~$1.0bn (-5–7%) and a flat Atlantic City floor (~$2.9bn). All-in 2026 gaming taxes should approach ~$1.15bn (est.), of which iGaming contributes well over half — which is precisely why the next rule changes will be fiscal (rate, reauthorisation terms, promo-deduction limits) rather than structural.

2026E TOTAL GAMING REVENUE	2026E INTERNET GAMING WIN	2026E SPORTS WAGERING GGR	2026E GAMING TAXES (ALL-IN INCL. IAT)
~$7.2bn (est.)	**~$3.25–3.3bn (est.)**	**~$1.0bn (est.)**	**~$1.15bn (est.)**
+4–5% vs 2025; 9M actual $5.39bn (+5.1%)	+12–13%; 9M actual $2.40bn (+13.2%)	-5 to -7%; 9M actual $748.4m (-6.3%)	First full year at 19.75% online; 8M all-in actual $760.9m

Independent view. Market: we expect iGaming growth to settle at **8–12% in 2027** as the law of large numbers and promotional fatigue bite, with FanDuel/DraftKings share drifting below 40% combined of online casino and the Fanatics/Hard Rock/bet365 tier reaching ~20%; online casino will exceed 50% of state GGR during 2027. Sports GGR is **flat-to-down structurally** (handle ex-events declining 3–5% p.a.), with revenue volatility dominated by NFL hold; any recovery depends on parlay mix and the outcome of the prediction-market litigation. The land-based floor stays within ±2%. **Rules:** base case is the 19.75% online rate holds through FY2027, but we assign a **meaningful probability (~35–40%) of a rate increase toward 22.5–25% being attached to the iGaming reauthorisation needed before November 2028**, alongside tighter promo-credit deductibility; RG rules will tighten incrementally (October 2026 changes are the start, affordability-style monitoring is the direction); advertising restrictions will stay guidance-led rather than statutory. **Leverage for an entrant** lies in a long-dated market-access agreement signed before reauthorisation, casino-led product differentiation, and a sportsbook kept as a retention tool rather than an acquisition engine.

What to watch next quarter:

- DGE October 2026 enhanced online responsible-gaming requirements — read the rule text and compliance deadline (reported by Gaming Intelligence 20–21 Oct 2026, not read in this session).
- FY2028 budget cycle (Governor's address Feb/Mar 2027; enactment by 30 Jun 2027) — any proposal to move online rates above 19.75% or to limit promotional-credit deductions.
- iGaming reauthorisation bill ahead of the November 2028 sunset [date unverified] — watch for conditions (rate, RG, server, skin caps) attached to renewal.
- Outcome of DGE v. Kalshi/Robinhood prediction-market litigation (Third Circuit / Supreme Court) — determines whether untaxed sports-event contracts are lawful in New Jersey.
- Appointment of a permanent DGE Director under Governor Sherrill — first signal of enforcement and licensing tone.
- Monthly DGE releases: watch whether iGaming growth stays >10% into Q4 (October release ~mid-Nov 2026) and whether NFL hold normalises toward 7–8%.
- New York iGaming legalisation — the single largest demand-side threat to NJ iGaming (cross-border players) and the biggest swing factor for 2027–28 growth.
- Atlantic City property M&A / licence transfers among the four sub-$150m floors — risk to existing market-access agreements and opportunity to secure a host.

DATA CONFIDENCE: HIGH HIGH on all headline market figures: September 2026 casino win, internet gaming win, sports wagering GGR, total gaming revenue and gross revenue taxes are taken from the DGE's own 19 Oct 2026 release (text read via its indexed njoag.gov page; the PDF was not retrievable) and cross-checked against RG.org, PlayNJ, SoloAzar, Intergame, MyBet and Hoodline — all agree, except Intergame which mis-stated the month as a 2.8% decline (and used '£' for the YTD sports figure). Tax rates, brand-level shares and recipient splits are from the DGE August 2026 statistical PDF read in full. MEDIUM on September brand-level and handle/hold detail, which comes from secondary outlets quoting DGE (PlayNJ, EliteSportsNY, RG.org, Casino.org) rather than the DGE tables themselves; '(calc.)' YTD figures are our sums of DGE 8M data plus September brand figures. LOW / [unverified] on regulatory items not re-verified in this session due to tool limits: effective date and prior rates of the 2025 tax increase, the Nov 2028 iGaming sunset, statutory licence fees ($400k/$250k permit; $100k sports), skin caps, credit-card and sweepstakes legislation status, 2026 status of Kalshi litigation, and the content of the October 2026 RG rule changes. FX: not applicable — New Jersey reports in USD. All 2026E figures are our estimates.

Sources: [Primary] NJ Division of Gaming Enforcement — 'Announces September 2026 Total Gaming Revenue Results' (press release, 19 Oct 2026) [primary]; [Primary] NJ DGE — 'DGE Announces August 2026 Gaming Revenue Results' statistical PDF (tax statistics, brand tables, classification shares; 16 Sep 2026) [primary, read in full]; [Primary] NJ DGE — June 2026, May 2026 and March 2026 Total Gaming Revenue Results press releases [primary]; [Primary] NJ DGE — Monthly Internet Gaming Gross Revenue Reports, September 2025 (DGE-105 returns; tax computation and promotional credits) [primary]; [Primary] NJ DGE — Financial and Statistical Information portal (monthly gross revenue, internet and sports wagering reports) [primary]; [Secondary] Gaming Intelligence — 'New Jersey gambling revenue climbs 3% in September' (20 Oct 2026; lead article, paywalled); [Secondary] Gaming Intelligence — 'New Jersey strengthens responsible gambling rules' (Oct 2026; headline only, not read); [Secondary] PlayNJ — 'NJ Sports Betting Revenue Falls 14.3% in September' (handle, hold, football/parlay, brand detail); [Secondary] PlayNJ — 'NJ Online Casino Revenue Rises 13% to $274.8 Million in September' (brand detail, YTD); [Secondary] PlayNJ — 'Atlantic City Casino Revenue Slips 1.3% in September' (property detail); [Secondary] RG.org — 'New Jersey Online Casino Win Tops Atlantic City Again in September' (cross-check of all headline figures, taxes, online/retail sports split); [Secondary] EliteSportsNY — 'New Jersey Online Casino Revenue Just Shy Of $275 Million In September' (brand table with exact figures); [Secondary] Hoodline — 'NJ Online Casinos Hit $274.8M in September, Outpacing Atlantic City's Floors' (22 Oct 2026); [Secondary] WSN — 'New Jersey iGaming Revenue Climbs in September, but Growth Is Slowing' (growth history, promo intensity, handle trend); [Secondary] Casino.org / Community News — 'Atlantic City Casino Win Slips 1.3% in September While Online Play Climbs 13%' (nor'easter, slots/tables); [Secondary] LegalSportsBetting — 'Pennsylvania Out-Taxes New Jersey, Massachusetts Sports Betting' (21 Oct 2026; state benchmarking); [Secondary] LegalSportsBetting — July 2026 and June 2026 New Jersey sports betting reports (World Cup months); [Secondary] Intergame — 'New Jersey revenue totals slip again in September' (note: mis-states month as -2.8%) and 'New Jersey sees August revenue slip'; [Secondary] SoloAzar — 'September 2026: New Jersey Reports Growth in Total Gaming Revenue' (YTD total and tax cross-check); [Secondary] MyBet Newsletter (Substack) — 'Soft Sports Betting Numbers in New Jersey' (20 Oct 2026; Sep-25 comparative $563.7m); [Secondary] NJBIZ — 'NJ gaming revenue rises 2.8% to $579.6M in September' (20 Oct 2026; paywalled, headline cross-check).

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